

IN THE COURT OF APPEAL
OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI LANKA

In the matter of an application for Mandates in the nature of Writs of Certiorari and Prohibition in terms of Article 140 of the Constitution of the Democratic Socialist Republic of Sri Lanka

CA/WRT/0165/2025

Court of Appeal Writ Application
No:

CA/WRT/0165/2025

CA/WRT/0238/2025

1. Kariyawasam Indipalage Charith Asalanka
Pinlinda Road, Igala,
Elipitiya, Galle.
2. Hapange Dhananjaya Maduranga De Silva
No 229/1,
Makuluduwa Road,
Bokundara,
Piliyandala.

PETITIONERS

vs

CA/WRT/0165/2025

1. Deputy Commissioner of Inland Revenue -
General, Tax Policy, International Affairs and Legal.
Inland Revenue Department,
Sir Chittampalam A. Gardiner Mawatha, Colombo 02
2. Commissioner General of Inland Revenue,
Inland Revenue Department,
Sir Chittampalam A. Gardiner Mawatha, Colombo 02
3. Shammi Silva
President,
Executive Committee,
Sri Lanka Cricket,
No 35, Maitland Place,
Colombo 07.

4. Thilak Waththuhewa
Vice President- Schools Cricket,
Executive Committee,
Sri Lanka Cricket,
No 35, Maitland Place,
Colombo 07.
5. Jayantha Dharmadasa
Vice President – International Cricket
Executive Committee,
Sri Lanka Cricket,
No 35, Maitland Place,
Colombo 07.
6. Raveen Wickramaratne
Vice President – Domestic Cricket
Executive Committee,
Sri Lanka Cricket,
No 35, Maitland Place,
Colombo 07.
7. Chryshantha Kapuwatte
Assistant Secretary,
Executive Committee,
Sri Lanka Cricket,
No 35, Maitland Place,
Colombo 07.
8. Sujeewa Godaliyadda
Treasurer
Executive Committee,
Sri Lanka Cricket,
No 35, Maitland Place,
Colombo 07.
9. Lasantha Wickramasinghe
Assistant Treasurer
Executive Committee,
Sri Lanka Cricket,
No 35, Maitland Place,

10. Kithsiri De Silva
Member,
Executive Committee,
Sri Lanka Cricket,
No 35, Maitland Place,
Colombo 07.

11. Mahesh De Alwis
Member,
Executive Committee,
Sri Lanka Cricket,
No 35, Maitland Place,
Colombo 07.

12. Janaka Pathirana,
Member,
Executive Committee,
Sri Lanka Cricket,
No 35, Maitland Place,
Colombo 07.

13. Samantha Dodanwela
Member,
Executive Committee,
Sri Lanka Cricket,
No 35, Maitland Place,
Colombo 07.

14. Nalin Aponso
Member,
Executive Committee,
Sri Lanka Cricket,
No 35, Maitland Place,
Colombo 07.

15. Upul Tharanga
Member,
Executive Committee,
Sri Lanka Cricket,
No 35, Maitland Place,
Colombo 07.

16. Marlon Ranasinghe
Member,
Executive Committee,
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No 35, Maitland Place,
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17. Priyantha Algama
Member,
Executive Committee,
Sri Lanka Cricket,
No 35, Maitland Place,
Colombo 07.

18. Bandula Dissanayake
Member,
Executive Committee,
Sri Lanka Cricket,
No 35, Maitland Place,
Colombo 07.

19. Auditor General,
National Audit Office,
306/72, Polduwa Rd,
Battaramulla

RESPONDENTS

CA/WRT/0238/2025

1. Athapaththu Mudiyanseelage Chamari Jayangani
Kumai Athapaththu
No 474, Athapaththu Niwasa, Gokarella.
2. Meegama Acharige Anushka Sanjeewani
No 24A,
Dodandugoda,
Dodanduwa

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Sri Lanka Cricket,
No 35, Maitland Place,
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19. Auditor General,
National Audit Office,
306/72, Polduwa Rd,
Battaramulla

RESPONDENTS

Before: Hon. Justice N. R. Abeyesuriya PC (P/CA)

Hon. Justice K. P. Fernando

Counsel: Nishan Premithiratne with Shenali Dias and Sidath Gajanayake for the Petitioners
instructed by Gamindu Karunasena for the Petitioners (CA/WRT/0165/2025)

Dr. Harsha Cabral PC with Vikum Jayasinghe and Manith Dissanayake for the
Petitioners instructed by Gamindu Karunasena (CA/WRT/0238/2025)

Manohara Jayasinghe, DSG, for the State.

Kuvera De Zoysa, PC, with Sajana de Zoysa for the 3rd to 18th Respondents

Argued On: 06.11.2025, 18.11.2025, 27.11.2025, 02.12.2025, 12.12.2025, 16.12.2025, 02.01.2026,
19.01.2026, 20.01.2026

Written Submissions Tendered on:

23.02.2026 (Petitioners and 3rd to 18th Respondents)

09.03.2026 (1st, 2nd and 19th Respondents)

Further Synopsis Tendered On:

13.08.2026 (Petitioners and 1st, 2nd and 19th Respondents)

17.08.2026 (3rd to 18th Respondents)

Decided On: 31.08.2026

JUDGEMENT

N. R. Abeyesuriya, PC, J. (P/CA),

When the instant matter was taken up for argument, Counsel for the Petitioners in this matter as well as CA/WRT/0238/2025 submitted that since the principal issues to be determined in both these matters are similar, they may be consolidated and one judgement to be delivered which will be applicable to both. The Petitioners in CA/WRT/0165/2025 are members of the National Contracted Male Cricket Team whilst the Petitioners in CA/WRT/0238/2025 are members of the National Contracted Female Cricket Team.

The primary issue to be determined by this Court in these proceedings is as to whether the opinion expressed by the Department of Inland Revenue which is contained in the document marked “P8” which is also the impugned opinion, is legally tenable and if not, whether it ought to be quashed.

The Petitioners have *inter alia* prayed for the following reliefs:

1. Grant and issue a mandate in nature of a **Writ of Certiorari**, quashing the decisions of the 1st and/or 2nd Respondents in the letter dated 14th October 2024 marked 'P8' in relation to Cricket players;
2. Grant and issue a mandate in nature of a **Writ of Prohibition**, prohibiting the 1st and/or 2nd Respondents from classifying national cricket players as employees of the Sri Lanka Cricket;

The sequence of events leading up to the issuance of P8 briefly is as follows;

The Auditor General had conducted an audit of the financial statements of Sri Lanka Cricket (hereinafter referred to as "SLC") pertaining to the year ending on 31st of December 2023. The Report of the Auditor General was tendered to Court marked "X" as an attachment to the motion of the Petitioner dated 25th of March 2025. In the said document under the heading No. 3.4, which is titled "*Non-Compliance with the Tax Policies*" the following Audit Observations were made.

"According to the Inland Revenue (Amendment) Acts No. 10 of 2021 and No. 45 of 2022, it was stated that a 5 per cent withholding tax (WHT) deduction should be made when paying service fees to an independent service provider.

The withholding tax was not deducted as per the above provisions on the contract money of approximately Rs.794.45 million paid by Sri Lanka Cricket to the cricketers during the year 2023 and on the fees paid to the cricket"

The following comments of the Management of SLC is recorded in "X" which is captioned "**Sri Lanka Cricket Institute - 2023**"

"As per the above Acts, the professionals employed by Sri Lanka Cricket on contract basis such as players, umpires, selectors, commentators, consultants and coordinators are subject to withholding tax, so I hereby inform that the above contract professionals are not subject to withholding tax"

The Auditor General in the said document also made the following recommendation

“Inquiries should be made to the Commissioner General of Inland Revenue to obtain his clarification or ascertain the existing obligations of the institution to deduct withholding tax on the above amounts”

As recommended by the Auditor General, the Chief Executive officer of SLC wrote to the Inland Revenue Department (hereinafter referred to as the “IRD”) in order to obtain clarification with regard to the tax liability of the National Cricketers.

In order to provide the said clarification, IRD requested SLC to make available to them emblematic contracts entered into by SLC with the National Cricketers. Upon the consideration of the clauses contained in the said contracts marked P6 and P7, the IRD responded by issuing the impugned document marked “P8” dated 14th of October 2024. The following was included in P8 as clarification of the IRD.

“Accordingly, being the employer, SLC/shall deduct APIT on any payment which falls under section 5 of the IR Act made to Cricket Players, Local Consultants and Coordinators with effect from January 01, 2023 as per section 83A(IA) of the IR Act as amended by the Inland Revenue (Amendment) Act, 10 of 2021, Inland Revenue (Amendment) Act, No. 45 of 2022 and the Extraordinary Gazette Notification No. 2312/16 dated 28.12.2022 and subsequent Guidelines and Explanatory Notes issued by the Commissioner General.”

As per the scheme and structure of the Inland Revenue Act, only persons who may be categorized as “employees” are liable to pay Advanced Personal Income Tax (hereinafter sometimes referred to as APIT). The significance of the matters contained in P8 has been summarized by the Respondents in the following manner.

“i) The national cricketers are employees within the meaning of, and for the purposes of, income tax;

ii) The cricketers, as a consequence of being classified as employees, are liable to pay Advance Personal Income Tax; and

iii) Sri Lanka Cricket is under an obligation to deduct APIT from the remuneration of the national cricketers and that Sri Lanka Cricket is in default of this obligation;

iv) The liability to deduct APIT becomes effective from 01st January 2023 (as this is the day the mandatory APIT regime became operational)."

(Vide Written Submissions of the Respondent dated 09.03.2026)

In order to comprehend the practical implications of P8, I am of the view that it would be helpful to consider certain basic aspects of taxation pertaining to individuals who could be broadly classified in the following manner;

i) Self-employed

ii) Employees

iii) Independent Service Providers

A self-employed person is required to pay taxes on his earnings from his business/profession in the form of "Return of Income" based upon a "Self-Declaration" to be compiled by himself.

Employees who earn a fixed or an ascertainable income from an identifiable source are subjected to "Advanced Personal Income Tax" (APIT). The Tax payable on the salary/earnings of the employee is deducted at the source by the employer and thereafter remitted to the IRD. The salary/earnings of the employee would be therefore the amount receivable after taxation.

A person who provides a service to another while operating a business of his own could be categorized broadly as an Independent Service Provider (hereinafter referred to as "ISP"). Such a person is subject to a "Withholding Tax" (hereinafter referred to as "WHT"), the percentage of such taxation is stipulated in the Inland Revenue Act (hereinafter referred to as the "IRA") which would vary depending on the principal amount. With regard to this category of tax payers, the party making the payment/fee, is required to the provider of service to remit the tax to the IRD under the Taxpayer's Identification Number (TIN) and obtain a "Withholding Certificate" and hand it over to the ISP who will then deduct the amounts reflected in the said Withholding Certificates when calculating his income tax liabilities.

As per P8, the Cricketers are to be considered as employees for the purpose of taxation under the IRA. Until the issuance of P8 on 14th of October 2024, members of the National Cricket Team were never considered as “employees” of SLC and according to the Petitioners, both the Cricketers and SLC never intended it to be so.

It should be noted at this stage that, SLC did not challenge P8 and in fact as per paragraph 26(a) of the Petition of the Petitioners, SLC at an executive committee meeting held on 17th January 2025 had passed a resolution which authorized SLC to consider the National Cricketers as employees as recommended by P8.

The Petitioners had emphasized the fact that the impugned document marked P8 pertains only to the game of Cricket and therefore it has no applicability to any other sport. The version of Petitioners may be summarized in the following manner;

For more than twenty years, Sri Lanka Cricket and the players of the National Contracted Cricket Team have entered into contracts regulating the terms and conditions applicable to obtaining the services of the players and to regulate the payments made to the cricketers for the aforesaid purpose. Throughout the said period the aforesaid contracting parties intended to consider the cricketers to be Independent Service Providers and in fact even the IRD accepted WHT from SLC on behalf of the players on this basis. There was never an issue pertaining to this aspect up until the issuance of P8 in response to queries raised by SLC.

The Petitioners have strenuously contended that the Cricketers have already paid personal income tax for the previous years in lieu of WHT. If WHT is to be deducted with effect from 01st of January 2023, it would amount to retrospective application of legal provisions pertaining to payment of tax, which may lead to double taxation.

The Petitioners have never received “a salary” from SLC at any point of time and the payments received was only a fee. The word “fee” has been defined in dictionaries as a sum paid or charged for a particular service provided. If Cricketers are deemed to be employees of SLC, they ought to receive a salary. Conversely an employee would never receive fees.

The aforesaid contracts are in effect for one year only and there is no guarantee that it would be automatically extended for another year. This would mean that, unlike employees who generally have a secured tenure, cricketers do not, and therefore, it is not possible to predict the period of time during which a player would be considered as a nationally contracted cricketer.

Unlike employees in general, the cricketers do not enjoy any retirement benefits whatsoever, they are also not entitled to the other forms of benefits attributed to employees such as EPF, ETF, maternity leave, annual leave, medical leave, and the application of labor laws designed to protect employees such as the Industrial Disputes Act.

Unlike in the case of an employee-employer relationship which may entail the employer exercising a certain degree of control over the employees, the same cannot be said of the relationship between SLC and the contracted National Cricketers. As submitted by the Petitioners,

“Cricketers cannot by any means be controlled in the discharge of their professional attributes on the cricketing field which is exclusively dependent on their skill, experience and confidence. Thus, it cannot be argued that SLC has no control over a cricketer when he or she is discharging cricketing professional services on field. Each decision made on field is in the hands of the cricketer and not under the control of SLC or any other!”

(Vide Written Submissions of the Petitioners filed on 23rd February 2026).

There is no fixed age of retirement for the National Cricketers and as such different individual players opt to retire at different stages of their sporting career for a multitude of reasons. In contrast, an employee would invariably be subject to a definite age of retirement. The Petitioners have also drawn a distinction between the manner in which employees are recruited and the modalities of selecting National Cricketers.

Employees are recruited based on applications to fill existing vacancies in the relevant category of service/profession. The employee concerned is required to take

the initiative to submit an application with perhaps attachments such as certificates, testimonials and appraisals issued by the previous place of employment.

In contrast, players for the National Cricket Team are *selected* by the relevant selectors of the SLC based primarily on performance, talent, and ability to represent Sri Lanka at International level. A cricketer cannot “apply” to join the National Cricket Team.

The Petitioners contended that neither party to the contracts concerned, have expressly declared the intention to establish an employee-employer relationship. In this context, it was contended that party autonomy and *consensus ad idem* should prevail in situations of this nature. The case of **Wimala Perera vs. Kalyani Sriyalatha [2011] 1 SRI L.R Pg. 182 at Pg. 188** was cited by the Petitioners; particularly the following observations of Her Ladyship Justice Tilakawardane;

“It is an elementary rule that every contract requires an offer and acceptance. Therefore an offer or promise which is not accepted, is not actionable [vide Justice Weerasooriya in Muthukuda v. Sumanawathie, 4 NLR 321 205,208,209]. It has been stated that it is an elementary proposition of law that a contract is concluded when in the mind of each contracting party there is a consensus ad idem, Noorbhai v. Karuppan Chetty (1925) 27 NLR 325 (per Lord Wrenbury). Cumulatively therefore an intention to create a legal relationship and a consensus ad idem or meeting of the minds needs to be in existence in order to establish a contract between the parties”

The Petitioners are also relying on the concept of Estoppel as contained in Section 115 of the Evidence Ordinance. It is their contention that instead of WHT, the Petitioners have for a considerably long period of time paid personal income tax which payments have been accepted without any issue by the IRD. During this period, the tax authorities have not raised any queries or given contrary instructions with regard to the payment of taxes or the nature of the tax liability of the players of the national cricket team. The contention of the Petitioners is that having accepted the personal income tax paid by the cricketers for a long period of time without any

directives to the contrary the IRD is estopped from adopting a stance which is diametrically opposite to its previous position.

Section 115 of the Evidence Ordinance reads thus,

“When one person has by his declaration, act or omission intentionally caused or permitted another person to believe a thing to be true and to act upon such belief, neither he nor his representative shall be allowed in any suit or proceeding between himself and such person or his representative to deny the truth of that thing.”

In support of this contention, the Petitioners have cited the case of **Neina Marikkar Umma Suleyha v. Rathubadalge Enoshami and Others** (CA 02/2000 decided on 31st August 2016). In the aforesaid matter Nawaz J. held that a party cannot blow hot and cold in the same breath and would therefore, be stopped from taking up two inconsistent positions under Section 115 of the Evidence Ordinance.

The Petitioners have also cited the case of **Ranasinghe v. Premadharma and Others** (1985) 1 SLR 63 at Pg 70 which is a five-judge bench decision of the Supreme Court. The following dicta of Sharvanada CJ. was cited:

“In cases where the doctrine of approbation and reprobation applies the person concerned has a choice of two rights, either of which he is at liberty to adopt, but not both. Where the doctrine does apply, if the person to whom the choice belongs irrevocably and with full knowledge accepts the one, he cannot afterwards assert the other: he cannot affirm and disaffirm. Hence a defendant who denies tenancy cannot consistently claim the benefit of the tenancy which the Rent Act provides.”

The Petitioners strenuously contended that this Court should not allow the IRD to reprobate from its previous position and now seek to classify national contracted cricketers as employees.

As alluded to previously in this judgement, it is the Petitioners’ stance that if the document marked P8 is given effect to, it would amount to “Double Taxation” since the Petitioners have already paid personal income tax in lieu of WHT for the

relevant time period. It was submitted that on this score alone it would have the effect of P8 being rendered arbitrary, unreasonable and irrational.

Another contention advanced by the Petitioners is that the taxpayers who are making a contribution to the national economy by their tax contribution should not be vexed unnecessarily for the sake of convenience of the tax authorities.

In this context, the Petitioners have placed reliance on the dicta of Thuraiarajah J. in **Fonterra Brands v. Commissioner General of Inland Revenue** (SC Appeal 187/2014 decided on 26.09.2025). In the said judgement, Thuraiarajah J. has made the following observations which are of particular relevance to the instant matter.

“58. It is in this context the teachings of the Arthashastra, an ancient treatise on statecraft and economic policy by Kautilya (Chanakya), carry wisdom. Kautilya famously said:

“The King shall collect taxes from his subjects just as a bee collects honey from a flower, without disturbing its petals.”

59. The act of taxation, then, must reflect the touch of the honeybee – light, measured, and never destructive. Just as the bee draws only what it needs, leaving the flower unharmed to bloom again, so too must the State collect revenue in a manner that secures its due without crippling the people who provide it. Taxation must be restrained, imposed “gently and without inflicting pain or hardship,” so that both the government and its citizens may endure and prosper together. The lesson is timeless, but perhaps never more important than today.

60. In today’s economy, taxation is not merely a means for the State to raise revenue; it functions like the framework of a bridge that supports commerce and livelihoods. Businesses, investors, and individuals build their plans upon it, expecting stability and predictability. When taxes are imposed arbitrarily, or assessments are issued without proper notice, the bridge wobbles, plans are disrupted and unnecessary burdens fall on those who rely on it. In a modern, interconnected economy, the law must ensure that this framework remains steady. I then repeat, once again, that taxation must be fair, measured, and applied in a manner that allows both the State and its citizens to flourish together.”

The stance of the Petitioner is that having already collected personal income tax from the cricketers, imposing WHT on top of what has already been paid as taxes, the State would run counter to the accepted tax policy of a modern State as reflected in the aforecited **Fonterra Brands** Matter.

Another aspect highlighted by the Petitioners warrants the attention of this Court. The Petitioners submitted that whilst some of the national contracted cricketers are representing the country as members of the Sri Lanka Cricket team, they are also employees of other private and public sector institutions such as the tri-forces, police, banks, mercantile establishments and such other organizations. These cricketers may be full-time employees of the said establishments, but have been granted approval to represent Sri Lanka in cricket by their respective employers. If for whatever reason such cricketers are also considered as employees of SLC, it may lead to confusion and ambiguity specifically as to whether a person can be employees of two employers at the same time. In certain instances, the relevant employment contract may contain a clause to the effect that if an employee is recruited to the employer's establishment, he is precluded from being an employee at any other place of work.

The attention of this Court was drawn by the Petitioners to the document marked 3R1 which was annexed to the Statement of Objections of Sri Lanka Cricket. The said document is a notification issued by the IRD to all the Withholding Tax (WHT) agents such as SLC.

The said document *inter alia* contains the following:

"As approved by the Cabinet of Ministers and instructed by the Ministry of Finance on December 31, 2019, pending formal amendment to the Inland Revenue Act No. 24 of 2017, WHT on service fee payable to any Resident Individual {whose payment made by any WHT Agent exceeding Rs. 50,000/- per month and deducted at 5% under section 85(1)(a) and item 10(1)(c)(i) to the FIRST SCHEDULE, of the Inland Revenue Act, No. 24 of 2017}, is removed with effect from January 01, 2020.

Accordingly, WHT Agents are instructed not to deduct any WHT on payments to be made on or after January 01, 2020, to any Resident Individual in respect of following services to be performed by such individual.

- *Teaching, lecturing, examining, invigilating, supervising an examination,*
- *Commission or brokerage to a resident insurance, sales or canvassing agent,*
- *An endorsement fee,*
- *Supply of any article on a contract basis through tender or quotation,*
- *Service provided in the capacity of independent service providers (such as doctors, engineers, accountants, lawyers, software developers, researchers, academics, or **any other similar service...**)*

(Emphasis added)

The Petitioners' and the 3rd Respondents' stance were that right throughout the cricketers were considered as independent service providers and as such would come under the category of "*or any other similar service*" contained in the highlighted fifth bullet point referred to in 3R1.

The Petitioner and the 3rd Respondent submitted that the reason for discontinuing deducting WHT by SLC from cricketers is due to 3R1.

Although subsequent to the issuance of 3R1 there were several amendments to the Inland Revenue Act, 3R1 was not rescinded or revised.

Subsequently on 14.02.2023, the IRD published a document titled "*EXPLANATION NOTE ON THE APPLICATION OF WITHHOLDING TAX/ADVANCE INCOME TAX*". The said document was tendered to this Court by the 3rd Respondent marked 3R2.

It contains *inter alia* the following clauses:

"This explanatory note intends to clarify the application of Advance Income Tax and Withholding Tax (WHT) imposed in terms of Sections 84, 84A and 85 of the Inland Revenue

Act, No. 24 of 2017 (IRA), as amended by the Inland Revenue (Amendment) Act, No. 10 of 2021 and 45 of 2022, for certain practical issues.

1. Identification of Service fee payments made to Individual independent service providers.

Only the Doctors, Engineers, Accountants, lawyers, Software Developers, Researchers and Academics should be treated as Independent Service Providers for the purpose of deduction of 5% WHT on Service fee payments made to Individual independent service providers, for the purpose of paragraph (c) of Subsection (1C) of Section 85 of IRA. (Emphasis added)

The WHT Agents are required to limit the WHT deduction to the service payments made to the above independent service providers only under such paragraphs. The aggregate service fee payment which exceeds Rs. 100,000/- per month is subject to WHT deduction and WHT should be applied to the entire amount (if the payment for a month is exactly Rs. 100,000, WHT deduction is not required).

2. Identification of service fee payments made to Individual service providers as prescribed by regulation, in terms of paragraph (c) of Subsection (1C) of Section 85 of the IRA.

This regulation may be issued by the Minister by a Gazette notification in due course. The WHT Agents are required to comply with such regulation, when it is issued. Until such time, any service fee payment made to an Individual service provider is not subject to WHT deduction. Accordingly, for examples, service payments for security services, janitorial services, manpower services, sub-contract payments, catering services, construction services, management services, transport services etc. are not subject to WHT deduction."

As evident from the highlighted clause of 3R2, only the categories of professionals specified therein were to be subjected to WHT until further notice. Sport personnel and other categories of professionals have been excluded from being subjected to WHT.

In the aforesaid circumstances, according to the Petitioners the cricketers continued to pay personal income tax instead of WHT.

One recurring theme of the submissions of the Petitioners is that, notwithstanding the fact that over a period of more than two decades the National Cricketers were not considered as employees by the IRD, when the sudden change of classification was affected by virtue of P8, there was no consultation with the stakeholders (either SLC or the Cricketers). In fact, no hearing was given to the said parties in any manner whatsoever which violates rules of natural justice. It appears that this is the principal grievance of the Petitioners, since, had there been such a consultation process, they would have been able to place before the IRD certain matters which warrant consideration prior to such change of policy. It was their contention that, the resultant effect on the Cricketers stemming from such stricter policy are such that, on this aspect alone is sufficient to quash P8.

The Petitioners are of the view that such change of policy ought not to be affected for the sake of convenience and therefore the statutory framework as reflected in the scheme and structure of the IRA should be accorded primacy over such convenience. In this context, it was submitted that fiscal statutes must be interpreted strictly. In support of this contention the following *dicta* of Shiranee Bandaranayaka J (as her Ladyship was then) in **The Manager, Bank of Ceylon, Hatton V The Secretary, Hatton Dickoya Urban Council** [2005] 3 Sri L.R. 1 was cited;

"In a Taxing Act one has to merely look at what is clearly said. There is no room for any intendment. There is no equity about a tax. There is no prescription as to a tax. Nothing is to be read in, nothing to be implied. One can only look fairly at the language used. A construction for example, which would have the effect of making a person liable to pay the same tax twice in respect of the same subject matter would not be adopted unless the words were very clear and precise to that effect. In a case of reasonable doubt, the construction most beneficial to the subject is to be adopted."

In any given situation where, public officers are vested with discretion, when called upon to act or to take decisions, could not do so arbitrarily or capriciously. In the sphere of Administrative Law, there is nothing called "absolute power" or absolute discretion conferred on such public officers. This aspect was considered in **Sri Lankan Airlines Ltd vs. Minister of Labour and Foreign Employment and Others**

(CA/WRT/243/2024 decided on 18th December 2024). Sasi Mahendran J, made the following observations;

“If this Court may borrow the language used by the Supreme Court in Municipal Council Colombo vs Munasinghe with reference to the power of an arbitrator appointed under the Industrial Disputes Act, the Minister or for that matter, no public official 'has the freedom of the wild horse' to do whatever he or she wants to. All exercise of statutory duties and functions must be within the four corners of the statute that confers such duties and functions, and any transgression will be dealt with in terms of the law”

Another concern raised by the Petitioners is the predicament of Cricketers who have retired from the National Cricket squad in the recent past, if such former players are to be subjected to APIT with effect from 01.01.2023. Such players also would have paid personal income tax on their earnings and deducting APIT from such persons would entail various practical complications.

In response to the contentions of the Petitioners, the stance of the Respondents is that, the document marked P8 was never challenged or subjected to judicial review by SLC and the instant writ applications of this court have been filed by the Cricketers and not by SLC. The Respondents contended that the Petitioners have not sufficiently explained to any degree of satisfaction on the merits and demerits of being considered as ISPs as opposed to the categorization of “employees”. It was submitted by the Respondents that the principal reason for the Cricketers to challenge P8 is due to deprivation of certain financial benefits by way of reduction of tax liability if they are considered as employees and not as ISPs. By way of clarification of this stance, the Respondents have submitted that ISPs are entitled to claim deductions for the expenses incurred in generating such income since their income is classified as “business income”. Such deductions would have the effect of reducing the tax liability of the players. On the contrary, employees whose income is classified as “employment income” are not entitled to such deductions.

Due to the aforesaid reason, the Respondent's contention is that the Petitioners are uncertain, unclear and non-committed about their own alleged grievances. According to Respondents, relief by way of *certiorari* cannot be granted on a petition which does not unambiguously articulate a grievance which justifies interference by court.

In support of the aforesaid stance of the Respondents, the case of **Jayaweera vs. Assistant Commissioner of Agrarian Services, Rathnapura and Another** (1996) 2 SLR Pg 70, was cited. In the said case, F.N.D Jayasuriya J, held that a Petitioner who is seeking relief in an application for the issue of a Writ of *Certiorari* is not entitled to relief as a matter of course, as a matter of right or as a matter of routine.

The Respondents furthermore place before this Court the following matters for its consideration in adjudicating this matter.

(i) The findings of the Deputy Commissioner of Inland Revenue as reflected in P8 is in fact beneficial to the Petitioners though the Petitioners contend that it is to their detriment. When contracted cricketers are considered as employees and if this court were to uphold the pith and substance of P8, it may form the basis of a demand to the Commissioner General of Labour by the National Cricketers that they will be recognized as employees and as such, declared to be entitled to the myriad of labour benefits such as EPF, ETF, gratuity, etc.

(ii) As per the Respondents, the impugned document marked P8 contains certain significant observations of the Deputy Commissioner General of Inland Revenue. Those are;

- a. The National Cricketers are employees within the meaning of, and for the purpose of, Income Tax.
- b. The Cricketers, as a consequence of being classified as employees, are liable to pay Advance Personal Income Tax.

- c. Sri Lanka Cricket is under an obligation to deduct APIT from the remuneration of the National Cricketers and that SLC is in default of this obligation.
- d. The liability to deduct APIT becomes effective from 1st January 2023 (as this is the date the mandatory APIT regime became operational).

(iii) The Respondents have analyzed the underlying rationale of P8 by referring to certain provisions of the IRA of 2017. These provisions pertain to the liability to deduct APIT. Reference has been made already elsewhere in this judgement to Sections 83A(1A), 85(1C) and 195.

As per Section 195, employer means *“the person who engages or remunerates an employee in employment....”*

Upon the consideration of the definitions contained in Section 195, it is clear that only a person who is in employment of another and has a fixed or ascertainable remuneration from such employment could be categorized as an employee. In this context the Respondents submit that the contracted Cricketers do have an “ascertainable income” as per the clauses contained in their respective contracts entered into with SLC. The fees payable to different contracted Cricketers may vary due to multiplicity of reasons but the amounts payable to any particular player is ascertainable as per the relevant contract.

The Respondents contend that “ascertainable income” does not mean certainty of payment. An employee may be liable to certain deductions if he has exceeded the quota of leave, he is entitled to and stay away from work for whatever reason such as ill health. Such a person may be placed on no pay leave. Although even with regard to a normal employee whose salary/income from employment may vary from month to month depending on permissible deductions, however, all such deductions and the net income from his employment is ascertainable by the employer.

(iv) The Respondents have relied on certain clauses contained in the contracts which have been entered into between the national cricketers and SLC which have been prepared in the prescribed formats. Copies of two of these emblematic contracts have been marked and annexed to the Petition as “P6” and “P7”.

Clause 4 of the contracts pertains to contract fee and other fees. Clause 4.1 (page 20 of “P6” which is the contract pertaining to National cricketer Mr. Charith Asalanka) reads thus:

“4.1 for and in consideration of the due compliance by the player with all of the terms, conditions, covenants, stipulations, provisions and obligations of the player to be done, observed and performed by the player referred herein under, SLC shall pay the player an ‘An Annual Contract fee’ as stipulated in Schedule 04 hereto.”

In Schedule IV (page 34 of “P6”) it is stipulated that the aforementioned national player is to be paid an annual contract fee of USD 100,000.

Schedule IV also contains provisions pertaining to the various match fees which also includes special payments such as “test series win bonus”. The various miscellaneous payments stipulated in Schedule IV also include player ranking incentives to be paid if the player is selected as the best batsman, best bowler, best all-rounder in Test, ODI and T20 formats.

Accordingly, the Respondents contend that although certain payments payable to contracted cricketers may vary depending on the particular circumstances of the cricketer concerned, upon the consideration of the clauses contained in the contracts marked P6 and P7, the remuneration receivable from SLC is “ascertainable” (i.e. could be calculated) and therefore, such contracted cricketers could be considered as “employees” for the purposes of the Inland Revenue Act.

These contracts also contain stipulations with regard to the taxes payable on the payments received from SLC.

Clause 4.6.1 read as follows:

“SLC may deduct from any payment due to be made to the player such an amount which it may be advised by its tax/legal advisors to deduct by operation of law.”

The stance of the Respondents with regard to the ascertainable remuneration of the national contracted cricketers is that merely because there is no guarantee that a particular player will receive the total income contemplated in the contract or any circular (on account of injury, illness or otherwise), his remuneration does not become "unascertainable" provided the method of calculating the amount he will be paid is clearly stipulated.

(v) In refuting the submissions of the Petitioners with regard to non-adherence to the rules of natural justice by the Respondents in not granting a hearing to the Petitioners, the Respondents have placed reliance on the judgement in **Nazeer Ahmed v. Sri Lanka Muslim Congress and Others** (SC Expulsion 01/2022, decided on 06.10.2023).

The contention of the Respondents is that there are certain circumstances in which rules of natural justice may not be applicable. The contention of the Respondent submitted that relying on a minority judgement by Mark Fernando J. in **Gamini Dissanayake v. Kaleel and others** (1993) 2 SLR 135, Surasena J (as his Lordship the Chief Justice was then) in **Nazeer Ahmed v. Sri Lanka Muslim Congress and Others** (*Vide*) has enumerated instances in which rules of natural justice may not have an application.

“Even in the minority judgment in Gamini Dissanayake's case, Fernando J having considered all the relevant authorities before him, had recognized the fact that there are several cases in which decisions have been allowed to stand although such decisions had been taken without a hearing. Fernando J in that case had listed some of the categories to which such cases belong: the instances where there is ‘no legitimate expectation’ of a hearing; the instances where a hearing becomes a ‘useless formality’; the instances where there is ‘no

injustice or no real prejudice'; the instances where there is 'urgency' to take a decision; the instances where there is 'discretion' on the decision maker; the instances where there is a 'subsequent hearing also taking place after the impugned decision which 'is enough'; the instances where the person aggrieved by the decision could not have adduced any evidence even if an inquiry was held; the instances where the case is in the nature of "open and shut case" etc."

The Respondents submitted that even if a hearing was given to the Petitioners by the Commissioner General of Inland Revenue, it would not have had the effect of materially impacting on the decision of the Commissioner General as reflected in "P8".

I have already alluded to certain provisions contained in the IRA elsewhere in this judgement which also include certain definitions contained in Section 195 of the Act. It should be noted that "Independent Service Provider" (ISP) is not a statutory legal status; appears only as a descriptive phrase within Section 85 (1C) of the Act to identify the category of payee from whom WHT is deducted. It is a withholding mechanism, not a legal classification.

The autonomy of fiscal definitions was considered by the Supreme Court of India in **Commissioner of Income Tax (Punjab) v. Kulu Valley Transport Co. (P) Ltd, AIR 1970 SC 1734** in which the Court held that definitions in a taxing statute are autonomous, those must be read as it stands in that statute and cannot be modified by reference to definitions in other legislation. In other words, a taxing provision must be construed by reference to the language and scheme of the taxing statute itself, reading its provisions together, rather than importing a meaning from outside the statutory scheme.

In the aforesaid case, it was also held that *"It cannot be overlooked that even if two views are possible the view which is favorable to the assessee must be accepted while construing the provisions of a taxing statute"*.

It is my view that the Sri Lankan tax jurisprudence must apply the same interpretive principles. The definitions contained in the IRA for terms such as “employee” and “employment” should operate for the purposes of that act alone.

Section 6 of IRA provides the following definition to the term “business income”;

“A person’s income from a business for a year of assessment shall be the person’s gains and profits from conducting the business for the year”

Section 5 (1) of the IRA provides that *“An individual’s income from an employment for a year of assessment shall be the individual’s gains and profits from the employment for that year of assessment”*

Section 5 (2) of the IRA contains the following provisions;

“(a) payments of salary, wages, leave pay, overtime pay, fees, pensions, commissions, gratuities, bonuses and other similar payments”

“(d) payments for the individual’s agreement to conditions of employment”

“(h) the fair market value of benefits received or derived by virtue of the employment by an individual or an associate person of the individual”

Section 6 (3) contains the following provisions;

“In calculating a person’s gains and profits from conducting a business for a year of assessment the following shall be excluded: -

(a) Exempt amounts and final withholding payments; and

(b) amounts that are included in calculating the person’s income from an employment.”

Section 6 (3)(b) of the IRA provides that *“amounts that are included in calculating the person’s income from an employment.”* This exclusion is absolute and non-reciprocal,

once income falls under Section 5, it cannot simultaneously be business income under section 6. The two are mutually exclusive on the face of the statute.

Section 83A (1A) of the IRA contains provisions with regard to APIT and reads thus,

83A

(1A) An employer shall deduct the Advance Personal Income Tax with effect from January 1, 2023 on any payment which falls under section 5 made to his employee, as specified by the Commissioner-General.

As per the aforesaid provision the tax liability would arise in respect of payments which are enumerated in section 5(2) to which I have referred elsewhere in this judgment. Such payment should be made to “the employee” and as such APIT applies only to employment income paid to an employee by the employer whose duty is to deduct APIT. With regard to WHT section 85(1C) of the IRA is applicable.

(1C) a person shall withhold tax at the rate of 5 % of the payment, where such person pays a service fee with a source in Sri Lanka to a resident individual who is not an employee of the payer –

(c) for services provided by such individual in the capacity of independent service provider such as doctor, engineer, accountant, lawyer, software developer, researcher, academic or any individual service provider as may be prescribed by regulation:

Another legal aspect which warrants consideration is as to whether parties could by mutual arrangement such as entering into a contract avoid tax liability and whether the Commissioner General of Inland Revenue should take cognizance of such an arrangement. In my view, Section 35 of the Act has vested in the Commissioner General sufficient discretion to even disregard such schemes.

Section 35(1)(c) reads thus;

35.(1)(c) having regard to the substance of the scheme, it can be concluded that a person, or one of the persons, who entered into or carried out the scheme did so for the sole or dominant purpose of enabling the person referred to in paragraph (b) to obtain a tax benefit.

The aforesaid provisions make reference to the term “scheme” which is also defined in the act in the following manner in Section 35(5).

35(5) “scheme” includes any course of action, trust, grant, agreement, arrangement, understanding, promise, plan, proposal or undertaking, whether express or implied and whether or not enforceable;

In the aforesaid circumstances, it does appear that even though parties have entered into a contract, the clauses of which have enabled a party to derive tax benefits, under certain circumstances the Commissioner General may make a determination contrary to such a scheme, if it is found that such a scheme may lead to evasion or avoidance of tax.

In deciding matters of this nature, it is essential that the Court be mindful of the importance of appreciating the scheme and structure of the relevant legislation since the duty of court is to interpret and apply such legislation confining strictly to the scope and ambit of the said legislative provisions.

I am guided by the dicta of Thuraiaraja J in **Fonterra Brands** case which I have cited elsewhere in this judgment,

“Taxation is a compulsory exaction backed by the coercive power of the State. It is therefore imperative that the power to tax be exercised strictly in accordance with law, and within the boundaries the legislature has drawn”

One unique aspect of the instant matter is that the IRD have allowed the national cricketers to pay taxes over a long period of time (which is not disputed) not in the capacity of employees of SLC but as ISPs. The said Department did not have any concerns regarding this or raise queries until SLC sought clarification from IRD consequent to an audit query. In response to the said clarification, IRD completely

changed its tax policy *vis-a-vis* the national contracted cricket players and directed SLC to deduct APIT with effect from 01.01.2023.

What should be determined in the instant matter is not as to whether the decision of the IRD is “good or bad” but whether the procedure followed in doing so is in conformity with the salutary principles of administrative law such as procedural fairness and impropriety.

In this regard, I am guided by the observations made by Rajakaruna J in **Courtaulds Trading Company (Pvt) Ltd** (CA/WRT/196/2022 decided on 29.07.2022);

“The writ court does not sit as an appellate court to scrutinize the decision of the lower authority on merits. The writ court does not substitute its own decision for that of the authority concerned... judicial review is concerned with the legality of a decision and not its merits”

The Petitioners have alleged that though they are the party directly affected, no opportunity whatsoever was afforded for them to be heard with regard to their concerns by the IRD. It is alleged that this amounts to violation of rules of natural justice.

The following observations of Kodagoda J in **Vavuniya Solar Power (Pvt) Ltd v. Ceylon Electricity Board & Others** (SC FR 172/2017 decided on 20.09.2023) which is a landmark judgement pertaining to legitimate expectation is of relevance to the facts of the instant matter.

“The rule of law also presupposes a certain measure of consistency and uniformity in the application and the enforcement of the law....

.... An individual's planning and preparation becomes difficult, if not impossible, if policy and procedure are changed too often or abruptly, and public authorities conduct themselves in an inconsistent manner and contrary to their own representations, undertakings and previous conduct.”

This issue needs to be considered in the light of the fact that placing reliance on the said acquiescence on the part of the IRD the Petitioners have paid their taxes based on the assumption that they are ISPs. It was their expectation that the *status quo* would be maintained in the future.

It is the view of this Court that the Petitioners should have been given an opportunity to make representations to the IRD prior to the aforesaid abrupt change of tax policy pertaining to the national cricketers. The conduct of the tax authorities over a period of exceeding 20 years may have generated a legitimate expectation with regard to the cricketers being classified as ISPs.

In the afore-cited **Vavuniya Solar Power** case, Kodagoda J expressed the following views,

“Prior to the change in policy, criteria and procedure, the relevant public authority should have informed those who may have by that time had a legitimate expectation that the previous policy, criteria and procedure would be applied, of the intended change, and afforded them an opportunity of being heard”

I am also guided by the following dicta of Amerasinghe J in **Dayarathna and Others v. Minister of Health and Indigenous Medicine and Others (1999) 1 Sri LR 393**,

“[A]lthough the Executive ought not in the exercise of its discretion be restricted to cause a change of policy, a public authority is not entirely free to overlook the existence of a legitimate expectation it has created.”

In the light of the afore-cited dicta and in consideration of the fact that taxes have already been paid by the Petitioners, they ought to have been heard prior to the issuance of P8 by the IRD.

Upon a careful consideration of the foregoing reasoning, this Court is of the view that the impugned decision of the Commissioner General of Inland Revenue, reflected in the document marked P8, cannot be permitted to stand and is therefore liable to be quashed.

Accordingly, a mandate in the nature of a writ of *certiorari* as prayed for in prayer (b) of the petition is granted, quashing the decision contained in P8.

This judgement is made without prejudice to the rights of the Commissioner General of Inland Revenue to take fresh steps, if so advised, to assess the tax liability, if any, of the nationally contracted cricketers, strictly in accordance with the due process of the law.

No order with regard to costs.

PRESIDENT OF THE COURT OF APPEAL

K. P. Fernando, J.
I agree.

JUDGE OF THE COURT OF APPEAL